

exception is Treasury Inflation-Protected Securities (TIPS). TIPS are placed in a separate index because of their unique characteristics.

TABLE 8-2

Fixed-Income Investment Returns from 1973 to 2009

1973 to 2009	One-Year T-bill	Barclays Intermediate Treasury Index	Barclays Intermediate Credit Index
Annualized return	5.8%	7.7%	8.3%
Standard deviation	0.9%	4.3%	5.3%

TABLE 8-3

Composition of the Barclays Capital U.S. Aggregate Bond Index in 2009

Distribution by Issuer		Distribution by Quality	
Government Treasury/agency bonds	35%	AAA	78%
Government mortgage-backed bonds	38%	AA	4%
Corporate and asset-backed bonds	20%	A	10%
Commercial mortgages	3%	BBB	8%
Yankee bonds (foreign debt)	4%	BB or lower	0%
Distribution by maturity			
0–3 years	24.7%		
3–5 years	30.9%		
5–10 years	32.5%		
10–20 years	5.6%		
20–30 years	6.1%		

The bonds in the Barclays Capital U.S. Aggregate Bond Index have an average maturity of about 6.8 years. Over 70 percent of the holdings are in U.S. Treasuries, government agency bonds, and government-backed mortgages. The remaining bonds are investment-grade corporate bonds and Yankee bonds. All the bonds are investment grade. [Table 8-3](#) is a breakdown of the index in 2009.